The Electric Vehicle Market in Argentina: Market Analysis

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1. Market Overview & Growth Trajectory

Argentina's electric vehicle market in 2025 is at a strategic inflection point. While historically underdeveloped, the convergence of new import policies, infrastructure rollouts, and private sector innovation is triggering rapid growth.

Key Metrics:

- 9,552 electrified vehicles sold in the first 4 months of 2025—a 14.1% market share, up from 10.7% in 2023.
    - BEVs: 307 (+51.7% YoY)
    - PHEVs: 1,750 (+65.7%)
    - HEVs: 7,495 (+30.1%)
- Projected CAGR: Findings suggest that EVs will make up 3% of new vehicle sales by 2029, and 12% by 2034.

2. Charging Infrastructure & Industry Players

Network Expansion:

- Chargebox Net leads with 120 chargers installed, 250+ locations secured, and commercial agreements with Renault, Ford, BMW, and Nissan.

- Charging is offered via:
    - Memberships and hourly packs (due to per-kWh sales restrictions).
    - A smart platform called EV Jungle for charger monitoring, payments, and reporting.

Other players include:

- YPF Punto Eléctrico and Shell are launching fast-charging pilots.
- Municipal partnerships are expanding chargers at malls, supermarkets, and hotels.

3. Supply Chain & Local Manufacturing

Lithium Reserves:

- Argentina is part of the “Lithium Triangle”, holding the second-largest reserves globally (~20 Mt).
- Key operators: Livent, Allkem, Ganfeng—with future integration into domestic battery supply chains

Domestic Innovation:

- ÁSTOR Project: 100% Argentine EV microcar developed by UBA students. Lightweight (350kg), affordable, and ideal for cities, gated communities, and last-mile delivery.
- Tito, Sero Electric, and Volt Motors also supply city cars, offering cost-effective BEV alternatives to imports.

4. Imported Vehicles & New Entrants

The 2024 import tariff cuts (0% for EVs under $16,000 FOB) opened Argentina's doors to:

- BYD, MG, Chery, Skywell – expanding offerings with low-cost, feature-rich EVs.
- Local OEMs like Renault and Ford offer limited-volume EVs (e.g., Kwid E-Tech, Mustang Mach-E), but imports still dominate the BEV market.

5. Major Policies & Regulatory Environment

Despite early delays in policy support, 2024–2025 has seen rapid reform:

Recent Major Policies

Energy Sales Restriction	Current	Unchanged	Charging operators can't sell per kWh, must use time-based billing
Sustainable Mobility Law	2021-2023	Stalled	Proposed ICE phase-out and EV incentives but never passed
Self-service Fuel Decree	2025	Active	Modernized station model, enabled chargers at gas stations
Resolution 22/25 on Infrastructure	2025	Active	Enabled any business to install EV chargers without red tape
EV Import Tariff Cuts	2024	Active	Allowed 50,000 vehicles duty-free; 60% must be electrified

Strategic Gaps:

- No national electromobility law governing energy sales, subsidies, or EV classifications.
- No dedicated tax credits or rebates for EV buyers, unlike in Chile, Colombia, or Brazil.

6. Urban Mobility & Public Sector

- Buenos Aires launched its first all-electric bus line (Linea 59), serving over 500,000 riders/year.
- Government is supporting EVs more as an economic modernization tool (less oil import, better fleet performance) than as climate policy.

7. Opportunities & Risks

- ChargeboxNet (Chargebox) – Founded in 2018, this La Plata–based firm (a division of Latenergy) is building Argentina's first EV charging network. It has contracts to deploy 1,500 EVBox chargers over the next two years (with partners like Carrefour, McDonald's, and Sheraton) and has already installed ~26 chargers nationwide. ChargeboxNet is adding DC fast chargers and targeting major routes.

- YPF and Other Energy Companies – Argentina's state oil company YPF runs the "Punto Eléctrico" network (24 fast chargers linking Buenos Aires, Rosario, and Córdoba, with 40 points planned by end-2023). Private fuel retailers (Shell, Axion, Puma, Gulf) are also rolling out fast-charging programs on highways. Shell, for example, plans to double its charging points and has already connected Mar del Plata–BA–Córdoba with 50–150 kW chargers. These efforts will ease "range anxiety" as the network expands.

- Coradir (Tito) – A small San Luis–based EV maker whose flagship Tito S5 urban EV (21 kWh LFP battery, ~300 km range) dominates domestic EV production. Coradir delivered ~298 Tito EVs in 2022 and ~500 in 2023 (becoming Argentina's bestselling EV). In 2023 Coradir accounted for roughly 85% of all locally made EV. The five-door Tito (~24 million pesos, ~$27k) is focused on city use. However, its volume remains tiny: roughly 800 Tito EVs circulate nationally by late 2023.

- Other Domestic Startups – Several Argentine startups produce niche EVs: Volt Motors (Córdoba) offers compact L6b 3-door city vehicles (Volt E1 Urban: LFP battery, 200 km range, 105 km/h top speed); Sero Electric (Buenos Aires area) makes quadricycles and a sedan (e.g. Sero Sedan: 100 km range, 50 km/h); Hamelbot (Misiones) sells utility EVs (CR2: 150 km range, 60 km/h); GreenGo (Rosario) offers a single-seat utility vehicle ("Módulo": ~80 km, 40 km/h). These firms are scaling slowly (e.g. in 2023 Volt sold only 1–2 units; Sero <20). Their small volumes underline how early Argentina's market is.

- Renault (and Global OEMs) – Renault Argentina imports/badges electric models (Kwid E-Tech, Megane E-Tech) and hybrids; globally, Stellantis, GM and others are exploring local EV production. In 2024 Coradir's Tito and Renault's Kwid E-Tech together made up ~70% of Argentine EV sales, indicating Renault's EV influence. Major automakers have signaled investment – e.g., Stellantis is investing $385 M in

its Córdoba plant (2025–30) and launching flex-hybrid models – though the focus remains largely on hybrid or biofuel vehicles.

- Emerging Foreign Entrants – Chinese and other multinationals are entering rapidly. Notably, BYD (the world's largest EV maker) received import permits for 1,300 EVs (more than double Argentina's total EV sales in 2024) under the new tariff waiver. BYD plans to introduce models like the compact Seagull, Dolphin and Yuan Pro (aiming for sub-$16k pricing) in 2025. Earlier, Argentina barred non-Mercosur imports, but new trade rules (50,000 EV/hybrid quota) have opened the market to Chinese and European EVs. Other Chinese moves include Chery's announced $2.8 B investment: a Jujuy EV plant and adjacent battery factory (with Gotion) tapping local lithium. These will introduce high-value EV assembly and battery production.

EV Adoption Projections (2025–2035)

- Government Targets – Argentina's federal targets are ambitious but conflicting. The Transport Ministry aims for 1 million EVs on the road by 2030, while the 2022 National Climate Strategy (NDC) calls for 100,000 new light-duty EVs/hybrids by 2030 (plus 150,000 heavy-duty). For context, Argentina sold under 10,000 EV+hybrid passenger vehicles in 2023. Achieving 100k–1M EVs in 2030 would therefore require a steep ramp-up in the late 2020s.

- Current Growth Trends – EV/hybrid vehicle registrations doubled in 2024 (to 14,175 units), driven mainly by hybrids (86% of that total were non-plug-in hybrids). Fully electric cars remain a tiny fraction: only ~3.7% of 2023 sales (~350 units) were BEVs. Research confirms this: Tito S5 and Renault Kwid together accounted for ~70% of EV sales in 2024, implying a total of roughly 140–150 EVs.

- Global/EIA Benchmarks – By contrast, international forecasts foresee a rapid EV uptake. The IEA projects EVs will reach roughly 40% of global car sales by 2030 and ~55% by 2035 under current policies. Industry analysts (EV-Volumes) forecast even higher (≈45% in 2030, 68% in 2035). Latin America lags: Brazil and Mexico lead regionally, while Argentina's baseline (≈0.1%) is far behind. If Argentina follows Chile/Colombia, long-term EV share could rise, but only aggressive incentives and infrastructure expansion will allow local adoption to approach global norms.

Regional Hubs & Infrastructure

- Buenos Aires (City & Province) – Argentina's political and economic center (40% of population, ~50% of GDP) is the nucleus of EV activity. Buenos Aires city mandates

50% electric/low-emission buses by 2030 and all government vehicles to be zero-emission by 2050, driving demand for public EV fleets and charging points. Charging firms target the Greater Buenos Aires area first, and YPF's network radiates out from BA. A recent World Bank report underscores Buenos Aires as a keystone for scaling EVs via buses, taxis and government fleets.

- Córdoba – Argentina's second-largest city and an auto industry hub (Fiat/IMASA, Stellantis plant) is now home to startups (Volt Motors) and key infrastructure. Shell's recent corridor connects Córdoba with Mar del Plata–BA, and YPF's Punto Eléctrico links Córdoba to Rosario and BA. ChargeBoxNet specifically cites Córdoba as a first target region along with BA and Mendoza. The new Stellantis investment in Córdoba (2025–30) may eventually support hybrid/EV production.

- Mendoza – Along with Córdoba and BA, Mendoza is repeatedly noted in industry plans for EV chargers. Its highway corridors are being fitted with fast chargers (Shell, YPF, others), in part to serve tourism routes (e.g. Bariloche–Mendoza). Provincial incentives (Mendoza has renewable projects) may further spur local uptake.

- Rosario/Santa Fe – Argentina's third-largest metro area is part of YPF's charging backbone and hosts GreenGo's EV unit factory. It serves as a conduit between BA and the northern provinces.

- San Luis – A smaller city but notable as the site of Coradir's EV assembly plant. Production and R&D here form a mini EV cluster.

- Other Regions – The northwest (Jujuy) is emerging as a battery/Li hub due to mineral endowments, while coastal corridors (e.g. BA–Mar del Plata) are being equipped with ultra-fast chargers. Cordillera routes (toward Chile) are slated for fast chargers in Shell's 2025 expansion plan. In short, infrastructure deployment is concentrated along major population and highway corridors, but still very thin nationwide.

Risks

- Import Competition & Policy Uncertainty: Domestic EV assemblers face intense competition from tariff-free imports. The recent allowance of 50,000 tariff-exempt EVs/HEVs per year (mainly from China/Europe) is a double-edged sword. While it expands consumer choice, it threatens small local ventures. One analysis noted that the affordability of Chinese EVs will undoubtedly increase the number of EVs, but harm the new domestic manufacturing market. The vacuum left by China's exit from Mercosur quotas created an influx of hybrid imports by mid-2025. With political transitions and economic crisis, EV policy has also been inconsistent (e.g. past EV

import tariffs were cut and a sustainability bill stalled). Such flux makes long-term planning hard for both investors and consumers.

- Weak Charging Infrastructure: Argentina has only a few hundred public fast chargers nationwide (focused in BA, Córdoba, Mendoza). Long-distance EV travel is currently impractical – planners note the "spaces between [fast] charging stations … have proven a challenge". Until the network grows (Shell, YPF, ChargeboxNet expansions notwithstanding), full-battery EVs will lag hybrid sales. In 2024, hybrid and plug-in sales outpaced BEVs by a wide margin (86% vs 4% of the 14,175 electrified cars). This infrastructure gap is a structural risk: without fast charging, consumers cite "range anxiety" as a key barrier.

- Slow Consumer Uptake: EVs remain a minuscule share of the market. In 2023 only ~3.7% of electric/hybrid sales were pure EVs (roughly 350 cars), and total EV+hybrids were <1% of vehicle sales. Cultural and economic factors (preference for large pickups, economic volatility) have kept ICE vehicles dominant. Argentina's auto market (0.4 M–1.2 M annual sales) dwarfs the few hundred EVs sold, meaning adoption curves will start near zero. If government support falters, Argentina risks falling behind its own 2030 targets (or wasting subsidies on niche uptake).

- Domestic Industry Transition: Argentina's auto sector has specialized in conventional, often large vehicles (e.g. pickup trucks, hybrids like Toyota Corolla/Ford Maverick) for decades. Transitioning existing factories to EVs is capital-intensive and logistically hard. For example, Argentina plans to push 50% e-buses by 2030, but production of electric heavy vehicles (buses, trucks) has barely begun. Local battery/bus manufacturing is nascent, so electrifying fleets depends on imports. Established plants (Stellantis, Toyota, VW) may resist quick change if global EV adoption is still small. This "structural inertia" is a risk: without targeted industrial planning (as in Brazil or Mexico), local manufacturers may be sidelined or uncompetitive.

- Economic & Grid Constraints: High inflation and currency swings raise EV costs (even imported price cuts may not offset devaluations). Without steady investment in the grid, a large EV fleet could strain electricity supply (especially if charging coincides with peak demand). While Argentina has ample gas and increasing renewables, recent policy focus on fossil fuels and subsidy cuts may crowd out EV-friendly power policies. If electricity prices rise or shortages occur, EV attractiveness will be dampened.

Investment Climate	Currency controls and macro volatility discourage foreign investment.
Policy Continuity	Lack of cross-party consensus could stall or reverse supportive measures.
OEM Commitment	Legacy automakers (e.g., Renault, Ford) still operate with low EV volumes.
Competition	Low-cost Chinese imports may overwhelm local EV startups.
Economic	Currency devaluation and inflation make EV pricing volatile
Infrastructure	Grid Capacity in rural areas insufficient for fast-charging scale-up.
Regulatory	No electric mobility law; legal vacuum prevents per-kWh energy billing.
Technology Leapfrogging	Avoids legacy ICE infrastructure by going directly to digital charging, smart grid, and clean fleets.
Regional Leadership	With the right policies, Argentina could rival Brazil and Mexico as a LatAm electromobility hub.

Lithium Supply Chain	Argentina has global-scale reserves- future battery production can add export value and tech jobs.
Public-Private Alliances	Firms like Chargebox and YPF can scale fast with coordinated regulation and incentives.
Charging Corridors	Under Resolution 22/25, retrofits of gas stations into EV hubs can rapidly expand infrastructure
Urban Micro-Mobility	Projects like **ASTOR** and **Tito** cater to city travel and last-mile delivery- low cost, low grid impact.
Fleet Electrification	High-usage segments like delivery and utilities can achieve ROI quickly, driving demand.

8. Lessons from Mexico and Brazil for Argentina's EV Industry

Argentina's EV market is evolving rapidly, but it still trails behind regional leaders like Mexico and Brazil, both of which offer valuable models—though with very different approaches. These countries' experiences can help inform Argentina's policy design, industrial strategy, and infrastructure planning.

<u>Mexico: Export-Oriented Industrial Strength</u>

Key Strengths:

- Manufacturing Hub: Mexico is the seventh-largest auto producer globally and has leveraged its trade agreements (especially USMCA) to become a key supplier of EVs and battery components to the U.S. market.

- Public Incentives:
    - Exemptions on import taxes and vehicle registration fees for EVs.
    - Development support through state-level investment packages (e.g., in Nuevo León for Tesla's Gigafactory).
- Energy Strategy: CFE (state utility) is investing in EV-ready grid upgrades and has begun pilot programs for smart charging stations.

Lessons for Argentina:

1. Treat EVs as a regional industrial policy: Align EV manufacturing with trade incentives and regional integration (e.g., Mercosur-EU, or Chile-Brazil-Argentina lithium corridor).
2. State utility alignment: Encourage grid modernization and utility involvement in charging networks.
3. Leverage subnational policy: Provinces in Argentina could follow Mexican states by offering their own EV incentives.

Brazil: Consumer Adoption and Local Content Strategy

Key Strengths:

- Largest EV and hybrid fleet in LatAm with ~130,000 electrified vehicles in 2024
- Strong HEV and PHEV growth, driven by Toyota's flexible hybrid production (e.g., Corolla Cross).
- Local content rules and fiscal tools:
    - Tariff reductions based on national manufacturing commitments.
    - ProEV policy includes R&D incentives and fleet electrification targets.
- Public-Private Charging Investment: Firms like Neoenergia and Enel X Brazil have built fast-charging corridors between major cities.

Lessons for Argentina:

1. Use hybrid adoption as a stepping-stone: Promote HEVs and PHEVs while grid and charging infrastructure mature.

2. Develop a local content policy: Tie EV incentives to domestic parts, assembly, or battery cell production.
3. Scale regional charging corridors: Brazil's experience shows the importance of early DC fast-charging infrastructure, especially for interstate travel.

What Can Argentina Emulate

Fleet Adoptions	HEVs for mass market	Focus on hybrid and city car subsidies
Infrastructure	Corridor fast-charging, utility-led	Coordinate with YPF, private players
Incentives	Tiered tax relief, registration cuts	Launch targeted EV buyer subsidies
Policy	Clear National Frameworks	Finalize an EV Mobility law
Manufacturing	OEM attraction via local content	Leverage lithium & low-cost R&D hubs

National EV Policy	Yes	Yes (ProEV)	No (incomplete)
Public Charging Points	~1,500+	~2,000+	~300
Battery Manufacturing	Emerging (Tesla, CATL)	Early-stage (Local R&D)	Nascent (e.g. Y-TEC, pilot plants)
Total EV/HEV Fleet (2024)	~90,000+	~130,000+	~10,000+
EV Market Share (est.)	~5.2%	~4.1%	1. 3% (BEVs only)

9. Final Outlook

Argentina's EV market has entered a fast-growth phase after years of stagnation. With over 14% electrified sales, growing private investment, a surge in Chinese EV imports, and lithium abundance, the fundamentals are strong. Yet, the next phase depends on unlocking policy bottlenecks: enabling energy sales per kWh, implementing tax credits, and strengthening national coordination.